

PERSONAL CONNECTION: LEARNING INTEREST THE HARD WAY

In May 2009 I became the first person in my family to graduate from college. Go, me. Like many twenty-one-year-olds, I thought I was one of the smartest people on the planet. Like many twenty-one-year-olds, I was a fool. Despite graduating from college, I still did not know what interest or interest rates were. I could confidently discuss the themes of free will, family, and sin in John Steinbeck's *East of Eden*, but I couldn't calculate the monthly interest on my student loans.

I owed \$25,000 in student loans at 6.8% interest. The only thing I knew was that I owed \$25,000; because I did not understand what interest was, I just assumed it was unimportant and wouldn't be a factor in my repayment. I had a brilliant plan. I would pay \$200 a month, or \$2,400 a year, for 10 years and five months, which adds up to exactly \$25,000. Now that you have read this chapter and understand interest, you probably see the harsh reality that smacked me in my ignorant face.

After five months, I had paid \$1,000 toward my loans, so I was expecting to see my remaining balance reduced to \$24,000. When I checked my account, I saw that I still owed \$24,700. I had given them \$1,000 but my loans had only dropped \$300! I rage-called my loan provider and rage-accused them of scamming and deceit. How dare they try to pull a fast one on me when they know I'm a super smart college graduate?

And that, readers, is how I first learned about interest rates and the cost of borrowing money. I also learned that you should be nice to your loan provider, because they have to deal with raging, often-ignorant borrowers all day long.